

tion, which is an inconsequential misadventure. Other opportunities always come in due time, and if one's attitude towards speculation and investment is shaped along the lines described . . . nothing will be lost in either eventual profits or peace of mind.

Another reason why selling at the right time is more difficult than buying is that the development of a frame of mind in which only real bargains are sought carries with it a tendency to lose confidence too early. Periods of overvaluation and public overconfidence are, naturally enough, likely to follow periods of depression, and often do. Likewise, very good general business conditions will normally succeed very bad conditions. In such active periods, stocks will sell at excessive valuations, so that their price advances will often outrun the most optimistic expectations of those who bought very early and very low. The latter will begin to feel uncomfortably unsure of their position as soon as normal valuations are restored, or when the indications of overvaluation are first to be seen.

As soon as a security is purchased, the buyer loses the power to avoid a decision. It becomes necessary for him to decide whether to hold or sell. . . . intelligent investors expect to make a great many more errors in closing transactions than in opening them.

For these reasons, the background for intelligent liquidation cannot be described simply as a reversal of the factors that make for a real buying opportunity. Such would be more nearly the case if we were discussing the proper time to make short sales. But what we are concerned with here is not initiating a position but unwinding one already held.